THE SESSION · POST-CLOSE READ

Print In Line, *Compute Leads*

July CPI landed exactly on consensus and September hike odds eased, but the day's leadership came from the AI buildout rather than the macro. Growth Portfolio +0.75% outpaced IUSG; Dividend Strategy added 0.11% and finished a step behind its benchmarks.

S&P 500 ▲ 0.27% NASDAQ ▲ 0.55% DOW ▼ 0.04% VIX 14.44 BRENT ▲ $89

DIVIDEND STRATEGY

▼ TRAILED DVY + SPY

+0.11% 1-DAY

FCI	+0.11%
DVY	+0.30%
SPY	+0.26%

YTD **+23.30%** vs DVY +17.34% · SPY +13.89%

GROWTH PORTFOLIO

▲ BEAT IUSG

+0.75% 1-DAY

FCI	+0.75%
IUSG	+0.44%

YTD **+21.37%** vs IUSG +15.47%

THE SESSION

July CPI arrived precisely where the consensus had placed it, and the market spent the balance of the session looking somewhere else entirely. Headline prices rose 0.1% on the month and 3.4% from a year ago, down a tenth from June; core held at 0.2% monthly and 2.5% annually. Every figure matched the Dow Jones survey. Traders who had been split close to evenly on a September hike moved toward a hold, long Treasury yields eased back from their summer highs, and gold reached a multi-week high near $4,440 — up roughly 10% for the month to date. The S&P 500 closed at 7,748.71, +0.27%; the Nasdaq added 0.55%; the Dow finished a hair lower at −0.04%. The Russell 2000 gained 0.61% and the VIX settled at 14.44, −5.50%. A quiet macro print, in other words, and a tape that took its direction from earnings.

Those earnings were about compute. CoreWeave reported second-quarter revenue of $2.58 billion, up 112% year over year, with a revenue backlog near $104 billion and full-year guidance raised to $12.4–13.2 billion; management noted a further $25 billion of contracts signed in the five weeks after the quarter closed. Nebius beat as well, Super Micro guided above expectations on a large order book, and Foxconn posted better-than-expected profit. The read-through moved straight into our growth sleeve: CRDO +8.26%, KEYS +3.14%, NVDA +3.03%, MRVL +2.25%, TSM +1.68%, and AMD +1.82%. Growth Portfolio closed +0.75% against IUSG's +0.44%. Dividend Strategy captured part of the same current through LRCX +4.72%, and got help from CAT +1.45%, LMT +1.52%, and ABT +1.09% — but staples and a 2.00% give-back in TEL held the sleeve to +0.11%, behind DVY at +0.30% and SPY at +0.26%.

A print that surprises no one hands the tape back to the businesses. That is where we prefer the argument to be settled.

Energy stayed close to unchanged despite the noise around it: Brent settled at $88.98, up seven cents, with WTI at $83.27, and EIA data showed a 17.4 million-barrel build in US crude inventories. Negotiations over the Strait of Hormuz remain unresolved. Our energy names split accordingly — OKE +1.04%, CVX essentially flat at −0.05%, CNX −1.08%. On the other side of the ledger, TOL fell 2.90% and NOW 2.04%, the latter continuing to wear the market's discount on application software while capital concentrates upstream in infrastructure. Digital assets were quiet, with IBIT and ETHA each −0.14% and bitcoin near $63,410. Cisco reports after tonight's close, PPI lands Thursday and retail sales Friday, and Nvidia's quarter on August 26 is the next real test of the buildout thesis that carried today.

FCI HOLDINGS · NOTABLE MOVERS

WINNERS

CRDO +8.26% — GROWTH PORTFOLIO
AI-interconnect demand re-rated on the CoreWeave backlog print; fiscal Q1 results still ahead.

LRCX +4.72% — DIVIDEND STRATEGY
Wafer-fab equipment bid alongside memory strength as AI capacity commitments extended.

KEYS +3.14% — GROWTH PORTFOLIO
Test-and-measurement pulled along by the same datacenter buildout read.

NVDA +3.03% — GROWTH PORTFOLIO
Compute demand confirmed by neocloud results; company reports August 26.

LMT +1.52% — DIVIDEND STRATEGY
Defense bid firmed as Gulf shipping enforcement stayed unresolved.

DECLINERS

TOL −2.90% — GROWTH PORTFOLIO
Housing gave back ground; the in-line print did not move near-term policy expectations.

NOW −2.04% — GROWTH PORTFOLIO
Application software lagged as capital concentrated in AI infrastructure.

TEL −2.00% — DIVIDEND STRATEGY
Gave back Tuesday's interconnect gain on no company-specific news.

CHD −1.49% — DIVIDEND STRATEGY
Staples funded the rotation into cyclicals and compute.

NXPI −1.26% — GROWTH PORTFOLIO
Auto and industrial semis sat out the datacenter-led move.

HOLDINGS NEWS

Credo Technology — the move and the multiple. CRDO's 8.26% advance to $268.16 came on sector read-through rather than company news; its fiscal first quarter ended August 1 and has not yet been reported. The bull-bear gap is wide: sell-side targets have been raised repeatedly on the AI connectivity ramp, while a Seeking Alpha piece today argued the valuation embeds expectations detached from reality. Customer concentration remains the live risk — roughly 90% of fiscal 2026 revenue came from the top ten accounts. We hold the position for the interconnect franchise, not the multiple.

SoFi — Truist lifts target, keeps Hold. Truist Securities raised its price target on SOFI to $19 while maintaining a Hold rating. Shares closed at $17.94, −0.22% on the day. The pattern is familiar: estimates moving up, conviction unchanged. Nothing in the note alters the thesis we own — deposit growth funding a widening product set at improving unit economics.

YEAR-TO-DATE STANDING

DIVIDEND STRATEGY

+23.30%

vs DVY +17.34% / SPY +13.89%

GROWTH PORTFOLIO

+21.37%

vs IUSG +15.47%